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A REPORT

TO THE

NATIONAL SECURITY COUNCIL

by

THE DEPARTMENTS OF STATE AND DEFENSE

on

IMMEDIATE UNITED STATES COURSES
OF ACTION WITH RESPECT TO FORMOSA

August 3, 1950

WASHINGTON

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Auth: EO 11652
Date: 23 NOV 1973
By: Jeanne W. Davis
NATIONAL SECURITY COUNCIL

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NOTE BY THE EXECUTIVE SECRETARY

to the

NATIONAL SECURITY COUNCIL

on

IMMEDIATE UNITED STATES COURSES OF ACTION WITH RESPECT TO FORMOSA

References: A. NSC Action No. 325
B. Memo for NSC from Executive Secretary, subject: "General Policy of the United States Concerning Formosa", dated July 28, 1950

The enclosed statement of policy on the subject, approved by the Secretaries of State and Defense in accordance with the President's approval in principle of the recommendations contained in the reference memorandum (NSC Action No. 325-b), is circulated herewith for the information of the National Security Council and the Secretary of the Treasury.

As requested by representatives of the Secretaries of State and Defense, the memorandum by the Joint Chiefs of Staff on "General Policy of the United States Concerning Formosa", attached to the reference memorandum, is included herewith as an Appendix.

JAMES S. LAY, JR.
Executive Secretary

cc: The Secretary of the Treasury

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REPORT BY THE DEPARTMENTS OF STATE AND DEFENSE

on

IMMEDIATE UNITED STATES COURSES OF ACTION WITH RESPECT TO FORMOSA

1. Without prejudicing United States initiative and freedom of action as to possible future courses of action with respect to Formosa, the United States should continue the present policy of denying Formosa to communist forces.

2. The United States should take steps (a) to assess the capabilities of the Chinese Nationalist forces; (b) to insure that such Chinese Nationalist military equipment as requires maintenance be rendered usable; (c) to meet deficiencies, now known to United States military authorities, of Chinese Nationalist military supplies and material; and (d) in connection with (c) to give certain military grant aid to the Chinese Nationalist forces.

3. The United States Government should make the necessary political arrangements with the Chinese Government and should direct the Commander in Chief, Far East to undertake forthwith a comprehensive military survey of the resources and needs of the Chinese Nationalist forces.

4. Accordingly, the following specific steps should be taken:

a. The Department of Defense should inform the Commander in Chief, Far East that the services of Major General Graves B. Erskine (Department of Defense) and Mr. Glen H. Craig (Economic Cooperation Administration) and their staffs are available to

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him for the purpose of assisting in the military survey and of translating the results of the survey into a military assistance program.

b. The Department of Defense should endeavor to insure that the services of Major General Erskine and Mr. Craig on Formosa are not interpreted as a diversion of the Erskine Mission from its task in Southeast Asia, possibly through the device of assigning these officers temporarily as individuals to assist a United States Liaison Mission to the Chinese Nationalist Government.

c. The Department of State should assign an officer to assist Major General Erskine and Mr. Craig in their work with the Chinese Nationalist Government.

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THE JOINT CHIEFS OF STAFF
Washington 25, D. C.

C O P Y

27 July 1950

MEMORANDUM FOR THE SECRETARY OF DEFENSE:

SUBJECT: General Policy of the United States Concerning Formosa

1. This memorandum is in response to your memorandum, dated 6 May 1950, concerning military assistance to the Chinese Nationalists and to your memorandum, dated 14 July 1950, dealing with United States policy concerning Formosa.

2. The Joint Chiefs of Staff have made a reexamination of the United States military position with respect to Formosa in the light of the world situation generally and the situation in the Far East specifically and reaffirm their views that:

a. The island of Formosa is strategically important to the United States (memorandum for the Secretary of Defense, dated 17 August 1949);

b. The strategic consequences of a Communist Formosa would be seriously detrimental to United States security (memorandum for the Secretary of Defense, dated 24 November 1948);

c. Continued successful resistance on the part of the Chinese Nationalists, particularly in the Formosa area, is in the military interests of the United States (memorandum for the Secretary of Defense, dated 2 May 1950); and

d. Future circumstances extending to war itself might make overt military action with respect to Formosa advisable from the over-all standpoint of our national security (memoranda for the Secretary of Defense, dated 22 March 1949 and 17 August 1949).

3. In this connection, the Joint Chiefs of Staff have received the following communication from the Commander in Chief, Far East:

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"14 June 1950

"MEMORANDUM ON FORMOSA

"1. Since the fall of 1948 when the military capability of the Chinese Communist to engulf all of the mainland of China became clearly evident I have been concerned as to the future status of Formosa and I have been convinced that the strategic interests of the United States will be in serious jeopardy if Formosa is allowed to be dominated by a power hostile to the United States. In my personal conversations with distinguished civilian and military representatives of the Government of the United States who have visited this Headquarters during the past eighteen months I have reiterated the premise that Formosa should not be allowed to fall into the hands of a potential hostile power or of a regime which would grant military utilization of Formosa to a power potentially hostile to the United States. On the 29th of May last I forwarded to the Joint Chiefs of Staff my estimate of the strategic consequences which would result from the capture of Formosa by the Chinese Communists.

"2. The front line of the Far East Command as well as the western strategic frontier of the United States rests today on the littoral islands extending from the Aleutians through the Philippine Archipelago. Geographically and strategically Formosa is an integral part of this offshore position which in the event of hostilities can exercise a decisive degree of control of military operations along the periphery of Eastern Asia. In the event of a war United States striking forces based on this line would have the capability to interdict the limited means of communication available to the Communists and deny or materially reduce the ability of the USSR to exploit the natural resources of East and Southeast Asia. This essential capability on the part of the United States is dependent to a large degree upon the retention of Formosa by a friendly or a neutral power.

"3. The geographic location of Formosa is such that in the hands of a power unfriendly to the United States it constitutes an enemy salient in the very center of that portion of our position now keyed to Japan, Okinawa, and the Philippines. At the present time there is on Formosa a concentration of operational air and naval bases which is greater than any similar concentration on the Asiatic mainland between the Yellow Sea and the Strait of Malacca. Additional bases can be developed in a relatively short time by an aggressive exploitation of World War II Japanese facilities not now utilized by the Chinese Nationalist Forces. Formosa bases are 100 miles closer to Okinawa than any point on the Chinese mainland and are 150 miles closer to Clark Field and Manila than any other area which could

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be acquired by Communist military forces. An enemy force utilizing those installations currently available on Formosa could increase by 100 percent the air effort which could be directed against Okinawa as compared to operations based in China proper and at the same time could direct damaging air attacks with fighter type aircraft against our installations in the Philippines which are currently beyond the range of fighters based on the mainland of Asia.

"4. As a result of its geographic location and base potential, utilization of Formosa by a military power hostile to the United States may either counterbalance or overshadow the strategic importance of the central and southern flank of the United States front line position. Formosa in the hands of the Communists can be compared to an unsinkable aircraft carrier and submarine tender ideally located to accomplish Soviet offensive strategy and at the same time checkmate counteroffensive operations by United States Forces based on Okinawa and the Philippines. This unsinkable carrier-tender has the capacity to operate from ten to twenty air groups of types ranging from jet fighters to B-29 type bombers as well as to provide forward operating facilities for the short-range coastal submarines which are predominant in the Russian Asiatic Navy. If Formosa should be acquired by the Chinese Communists and bases thereon made available to the USSR, Russia will have acquired an additional 'fleet' which will have been obtained and can be maintained at an incomparably lower cost to the Soviets than could its equivalent of ten or twenty aircraft carriers with their supporting forces.

"5. Current estimates of Soviet air and submarine resources in the Far East agreed to by both Washington and Tokyo military intelligence agencies satisfy me that the Russians have the capability to extend their forces southward from their present positions and still maintain an imposing degree of military strength in both the Maritime Provinces and the Chinese seaboard. The ability of the USSR-Chinese Communist hordes to meet promptly logistic requirements either by improvisation or by the import of critical materials from Europe is being demonstrated daily by military activities extending from Tientsin to the southern border of China. The interest of the USSR in the southward displacement of termini of the Trans-Siberian Railroad has been reported by competent observers whose information indicated that rail lines are being extended through China southward from the vicinity of Lake Baikal and eastward from Russia Turkestan in the vicinity of Alma Ata. A trans-Siberian railhead in the vicinity of Shanghai would materially assist in the logistic build-up of Formosa. Pending the actual outbreak of hostilities United States military forces will be unable to

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prevent the stockpiling of essential military supplies on Formosa if that area is acquired by the Communists.

"6. Historically Formosa has been used as a springboard for military aggression directed against areas to the south. The most notable and recent example was the utilization of Formosa by the Japanese in World War II. At the outbreak of the Pacific War in 1941, Formosa played an important part as a staging area and supporting base for the various Japanese invasion convoys. The main strength of the forces which landed at Lingayen Gulf on Luzon were staged from Keelung, Takao, and the Pescadores. The supporting air forces of Japan's army and navy were based on fields situated along Southern Formosa at Takao, Koshun, and Taichu. Takao also served as a staging area for the invasion of Java in February 1942. From 1942 through 1944 Formosa was a vital link in the transportation and communications chain which stretched from Japan through Okinawa and the Philippines to Southeast Asia. In 1944-45 Formosa was the key staging point for troops and air reinforcements deployed to the Philippines in preparation for the all-important operation to hold the Philippine areas. As the United States carrier forces advanced into the Western Pacific, the air bases on Formosa assumed an increasingly greater role in the defense scheme of the Japanese. After the invasion of Luzon in January 1945 the Japanese air forces withdrew to Formosan fields to take up forward operational positions to be used against our advancing forces. The military utility of Formosa is sharply underlined by the fact that Japan in 1941 controlled not only the Ryukyus but the entire eastern periphery of China.

"7. In addition to its military value, Formosa has not only been self-sufficient as regards food for its own population of more than eight million but it has exported since 1910 with a favorable balance of external trade. In normal times Formosa held the position of a food surplus area in a generally food-scarce locality. Its prewar export of rice and wheat exceeded imports by approximately 600,000 metric tons annually. There is no reason to believe that able political and economic advisors cannot once more establish Formosa as a prosperous economic unit. Such a factor, particularly the availability of a food surplus, may be of considerable importance in re-establishing the economies of those Oriental nations now largely dependent upon United States assistance.

"8. Formosa represents a political area of no less importance to western ideology than other areas in the Orient. The Taiwanese are a homogeneous racial group who as individuals have resisted the intrusion of foreign blood. Although Formosa

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was promised to China as a consequence of World War II this promise was given in consonance with a political situation entirely different than that which now exists. There is every basis from a moral standpoint to offer to the Taiwanese an opportunity to develop their own political future in an atmosphere unfettered by the dictates of a Communist police state. In view of the moral implications, as well as the geographic proximity of this area to other endangered peoples on and near the periphery of China, the future status of Formosa can well be an important factor in determining the political alignment of those national groups who have or must soon make a choice between Communism and the West.

"9. There can be no doubt but that the eventual fate of Formosa largely rests with the United States. Unless the United States' political-military strategic position in the Far East is to be abandoned, it is obvious that the time must come in the foreseeable future when a line must be drawn beyond which Communist expansion will be stopped. As a means of regaining a proper United States posture in the Orient it is apparent to me that the United States should initiate measures to prevent the domination of Formosa by a Communist power. I am equally certain that it would be a fundamental error with regard to any part of the Orient to fail to take appropriate measures in those areas still open to our influence.

"10. At this time I am unable to recommend the exact political, economic and military measures which should be taken to prevent the fall of Formosa either into the hands of a potential hostile power or into the hands of a power who will grant military utilization of Formosa to a hostile power. It is my firm conviction that a realistic estimate of requirements can only be based upon a physical survey of the area made by experienced military, economic and political observers. I concur whole-heartedly with the recommendations made by the Joint Chiefs of Staff on 23 December 1949 to the effect that the Commander-in-Chief Far East should make an immediate survey of the need and extent of the military assistance required in Formosa in order to hold Formosa against attack. Although this recommendation was apparently not acceptable at the time to the National Security Council, I note that the Joint Chiefs reaffirmed this recommendation on 4 May 1950.

"11. Formosa has not yet fallen to Communist domination. There are conflicting reports as to the capability and will of the Chinese Nationalist Forces as now constituted and equipped to prevent either the military or political conquest of the island of Formosa. I cannot predict what the cost may be of preventing Communist domination of that island, although I

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have advised the Joint Chiefs of Staff what the cost may be if such an event transpires. I am satisfied, however, that the domination of Formosa by an unfriendly power would be a disaster of utmost importance to the United States, and I am convinced that time is of the essence. I strongly believe that the Commander-in-Chief Far East should be authorized and directed to initiate without delay a survey of the military, economic and political requirements to prevent the domination of Formosa by a Communist power and that the results of such a survey be analyzed and acted upon as a basis for United States national policy with respect to Formosa.

DOUGLAS MacARTHUR"

4. The present United States position with respect to Formosa is contained in the following statement from the announcement by the President on 27 June 1950:

* * * * * * *

"The attack upon Korea makes it plain beyond all doubt that communism has passed beyond the use of subversion to conquer independent nations and will now use armed invasion and war. It has defied the orders of the Security Council of the United Nations issued to preserve international peace and security. In these circumstances the occupation of Formosa by communist forces would be a direct threat to the security of the Pacific area and to United States forces performing their lawful and necessary functions in that area.

"Accordingly, I have ordered the Seventh Fleet to prevent any attack on Formosa. As a corollary to this action I am calling upon the Chinese Government on Formosa to cease all air and sea operations against the mainland. The Seventh Fleet will see that this is done. The determination of the future status of Formosa must await the restoration of security in the Pacific, a peace settlement with Japan, or consideration by the United Nations."

* * * * * * *

5. In light of all of the foregoing, and in view of the fact that the state of the United States military position in the Far East, now and in the foreseeable future, will have a direct impact upon the United States position throughout the world generally and in the Far East specifically, the Joint Chiefs of Staff strongly recommend that, irrespective of the situation in Korea, the United States plan to continue the present policy of denying Formosa to communist forces, at least until the future status of Formosa has been determined in

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accordance with the above announcement by the President. Such planning, however, should not prejudice United States initiative and freedom of action as to possible future courses of action with respect to Formosa.

6. The Joint Chiefs of Staff are cognizant that implementation of the above policy in the future may involve specific requirements for military forces. They would point out, further, that the continuation of a policy of solely defensive measures of a passive nature cannot halt communist aggression. There must come a time, if the expansion of communism under Kremlin domination is to be halted, when adequate forces in being must be provided and placed in position to counter that expansion even though the risk of war be increased. The Joint Chiefs of Staff will take these requirements into consideration in their future periodic recommendations as to the strength and composition of the United States Armed Forces.

7. It is recognized that the Seventh Fleet may not be able to continue to participate in current operations in Korea and at the same time insure the denial of Formosa to communist forces. In any event, the Chinese forces on Formosa must be prepared, within reason, to resist attack. It is imperative, therefore, that the capabilities of the Chinese Nationalist forces be assessed at the earliest possible date; that immediate and positive steps be taken to insure that such of their military equipment as requires maintenance be rendered usable; and that deficiencies of materiel and supplies essential to the Chinese Nationalist forces be met.

8. The Joint Chiefs of Staff are cognizant that Chinese forces on Formosa are in urgent need of materiel and supplies. If these Chinese forces are to be enabled to resist attack, they must be provided with that materiel. Accordingly, the Joint Chiefs of Staff urge that the present United States policy of withholding United States military aid from the Chinese forces on Formosa be so modified, as a matter of urgency, as to permit the granting of such aid, the more urgent needs, now known, to be met immediately and the remainder to be determined from the reports of a military survey team.

9. Complete determination of the needs of the Chinese forces on Formosa can only flow from a comprehensive military survey. The Joint Chiefs of Staff, therefore, recommend that they be authorized to direct the Commander in Chief, Far East, to cause a survey to be made forthwith of the Chinese Nationalist Government's military requirements which must be met if the capture of Formosa by the communists is to be prevented. It is further recommended that the State Department be requested to make the necessary political arrangements for the survey.

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10. The Joint Chiefs of Staff recommend that after the authorization for the military survey recommended in the foregoing paragraph has been approved, the Department of Defense and the Department of State offer to General MacArthur the services of the Joint State-Defense Military Assistance Mission under Major General Erskine (Department of Defense), Mr. John S. Melby (Department of State), and Mr. Glen H. Craig (Economic Cooperation Administration), for the purpose of translating the results of the military survey into a military assistance program. The mission should be directed to proceed to Formosa as General MacArthur may desire; thereafter to proceed in accordance with its present instructions.

For the Joint Chiefs of Staff:

/S/ OMAR N. BRADLEY

OMAR N. BRADLEY,
Chairman,
Joint Chiefs of Staff.

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